Category

The Behavioral Biases of Individuals

BEHAVIORAL BIAS CATEGORIES

Learning Outcome

- compare and contrast cognitive errors and emotional biases

In general, behavioral biases come in two forms: faulty cognitive reasoning, known as **cognitive errors**, and those based on feelings or emotions, known as **emotional biases**. Both forms of bias, regardless of their source, may cause decisions to deviate from what is assumed by traditional finance theory.

Cognitive errors can often be corrected or eliminated through better information, education, and advice. Emotional biases, on the other hand, are harder to correct because they stem from impulses and intuitions. They arise spontaneously rather than through conscious effort and may even be undesired to the individual feeling them. Thus, it is often possible only to recognize an emotional bias and adapt to it. The cognitive–emotional distinction will help us determine when and how to adjust for behavioral biases in financial decision making.

Researchers have identified numerous behavioral biases. This reading does not attempt to catalog all of them. Rather, it discusses some of the more publicized and recognized biases within the cognitive–emotional framework. Additionally, we limit our focus to gauging the presence or absence—not the magnitude—of each bias discussed. That is, we will not try to measure how strongly the bias is exhibited, but rather we will describe the behavioral bias, its potential consequences, and the detection of and correction for the behavioral bias. In detecting a bias, we will identify statements or thought processes that may indicate the bias. Diagnostic tests of varying degrees of complexity are available to detect biases but are beyond the scope of this reading.

Finally, the individuals of interest in this reading are “financial market participants” (FMPs) engaged in financial decision making. These include both individual investors and financial services professionals.

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